

Adding all of them, we arrive at 350 Crores. We need to understand all the different types of Contingent Liabilities that the company has. Some of these are- Claims against companies not acknowledged as debt, Income Tax demand, excise duty, service tax, disputes, guarantee given by companies, etc.

We need to analyze the worst-case scenario and understand how much the company has to pay. This company must pay 350 Crores if all of its Contingent Liabilities materializes. The total profits of the company were 1000 Crores. Thus, one time 350 Crores to be paid is not that bad a situation. If the company had Contingent Liabilities amounting to 3000 or 5000 Crores, it would have been a major problem and a significant risk.

We need to avoid companies whose Contingent Liabilities are substantial, which generally happens when there are 1 or 2 very large cases against the company. In this situation, the company's Contingent Liabilities are manageable as it is not very high.

Analyze the worst-case scenario w.r.t. Assets and CFO

The worst-case scenario here is not that bad.

If the amount is too significant, you need to go for a detailed analysis subjectively.

Let's say this company has a single case of 2000 Crores. In that case, that one line item can risk survival for the company easily. We need to understand that in a detailed manner. Otherwise, we are leaving the fortunes on one particular case or outcome. All of the previous analyses thus do not matter as the company here is at risk of survival. We have to understand this subjectively. Preparing for the worst-case scenario is important. For contingent liabilities, we need to evaluate it in worst case scenario manner.

